

eBay's Amazing Use, and Misuse, of Data

1. Generally, what do you think eBay does well with data?

2. eBay pays for clicks when they advertise on search engines like Google. Suppose you searched in Google for "ebay 1992 Toyota Camry". You might get an ad at the top from eBay. eBay pays for the ad only if you click it.

Suppose eBay marketing uses the data available to them to compare the purchases of individuals who arrive to eBay through a paid ad click and those who arrive through other channels. They find large differences between the two groups: individuals who click on the paid ad for the Camry are 10 times more likely than other eBay users to buy the car. eBay marketing concludes that the online ads have a massive payoff – the ROI is on the order of 1000%.

What concerns are there with drawing conclusions from a comparison of these groups? Be specific.

3. If eBay had 10 times as many observations on individuals, how would this change your response to part (2)?

4. Is AI going to help your analysis here? If so, how?